

Question 1

Sumita Khatri wrote a research report and followed the necessary due diligence steps before sharing the report with her client. It turned out that there was a mistake in the report. This was pointed out by her client. Khatri apologized and re-submitted the corrected report. Did Khatri violate any CFA Institute Standards?

- A. No.
- B. Yes, relating to performance presentation.
- C. Yes, relating to misconduct.

Question 2

Aryana Reid, CFA, is a private wealth manager. She writes a popular blog called "Aryana's Investments" that has several thousand subscribers. The objective of the blog is to attract new clients; every post is also sent as an e-mail to its subscribers. The blog posts are usually a detailed analysis about her investment recommendations and actions. Recently, Reid issued a sell recommendation for Jubilant Inc. However, a few days after publishing her initial recommendation, she decides to change the recommendation from sell to buy based on some new information. In order to comply with the CFA Institute Standards, which of the following is the *most appropriate* method for disseminating the change in investment recommendation?

- A. Publish the post and send it as a mail to the blog subscribers.
- B. Publish the post, send a mail to blog subscribers and email her clients simultaneously.
- C. Email her clients first.

Question 3

Kent Miller is an investment adviser at UBN Investments, who is registered to take Level I of the CFA Exam. He meets with Carrie Hartford, a new client of the firm, who has just moved her account from Northern Investment Bank. She tells Miller that she has read about derivatives and would like to invest in them. Miller explains the upside potential and downside risks of some strategies with derivatives and recommends protective put for her portfolio. To be consistent with the CFA Institute Standards, Miller should:

- A. determine Hartford's needs, objectives, and tolerance for risk before making a recommendation.
- B. explain to Hartford in detail about the characteristics of his firm and the investment vehicles it offers, including the nature of the industry.
- C. explain to Hartford his recent candidacy in the CFA Program, and its importance within the investment community.

Question 4

Justin Zoghlin, CFA, was hired as a wealth manager to manage the \$2 billion estate of a family in Oklahoma a year ago. He was given the flexibility to choose his working hours. When Zoghlin took the job, he served as the President of his religious community that conducted social welfare programs on a regular basis. In addition, he managed the investments for his large extended family. He did not get paid for his religious community activity or the family investments. Seeing the impressive returns he generated, his friends persuaded him to manage their investments, as well. Now, a year later, he has stopped serving the religious community. He manages

investments for non-family members, but charges 10% of the portfolio value as his fee. Zoghlin has not informed his employer of any of these activities. With regard to which of the business activities, has Zoghlin *least likely* violated the CFA Institute Standards of Professional Conduct?

- A. Serving the religious community.
- B. Managing non-family investments.
- C. Managing family investments.

Question 5

Rani Kapowala, CFA, an analyst at Smart Securities has just finished writing a newsletter to the firm's clients about a new investment strategy involving derivatives. Due to the complex nature of the strategy designed to manage risk and the different trading patterns involved in various economic scenarios, Kapowala decides to include only the top three liquid securities, with relatively lower volatility in the market to explain the strategy. She consequently withholds information regarding the portfolio construction and valuation scheme. Has Kapowala violated any CFA Institute Standards?

- A. No.
- B. Yes, relating to communications with clients and prospective clients.
- C. Yes relating to fair dealing.

Question 6

Cara Knightly is a much respected portfolio manager at RMC investment management company. Knightly is planning to sell her shares in General Tyre Company (GTC) from her personal portfolio to pay for her child's college tuition. Knightly duly informs her supervisor according to the firm's preclearance procedures and receives approval. RMC has however published its research report on GTC with a "buy" recommendation, and Knightly has advised some of her clients to purchase the stock for their portfolios, where suitable. Has Knightly violated any CFA Institute Standards?

- A. Yes, related to priority of transactions
- B. Yes related to loyalty, prudence, and care.
- C. No.

Question 7

Andy McCarthy, CFA, resigns from his position as a portfolio manager with Drexell Investments and takes up a part-time teaching position at a local college. For the next two years, he does not file a completed Professional Conduct Statement with CFA Institute and does not pay his CFA Institute membership dues. After two years, McCarthy starts his independent practice as a financial analyst and writes his CFA designation on his business cards and next to his name. McCarthy does not reinstate his CFA Institute membership by filing his Professional Conduct Statement and paying the CFA membership fees. He feels that for the past two years he has not been involved in the investment profession therefore he is not required to reinstate his CFA Institute membership. Has McCarthy violated any CFA Institute Standards?

- A. No.
- B. Yes, relating to reference to the CFA Institute, the CFA designation, and the CFA Program.
- C. Yes, relating to loyalty.

Question 8

Heather Dunst, CFA, is the fund manager of a small-cap equity mutual fund. Annabelle Mills, CFA, is responsible for marketing the fund and acquiring new clients. While going through the fact sheet of the fund, Dunst notices that the market value of the total equity holding is lower than the current market value. As a result, the total assets under management is also lower. Mills attributes the difference to the increase in stock price over the past five consecutive sessions. To prevent violation of the CFA Institute Standards of Professional Conduct, Dunst should *least likely*:

- A. update the fact sheet with the current market value before sharing it with prospective clients.
- B. include a note that states the asset values are as of a particular date.
- C. file a report to the CFA Institute's Professional Conduct Program.

Question 9

Pete Yang, CFA, works as an analyst at a large investment management firm. Out of interest, he follows the technology sector closely. He has been following SatCom Inc., a technology company, in particular because of its too-good-to-be true performance of late. After analyzing the stock of SatCom, Yang is convinced the company is resorting to accounting manipulation/fictitious accounts and writes to the capital markets regulator to investigate the company's books. Before he writes to the regulator, Yang shorts the stock of SatCom for his clients' accounts. Subsequently, he also tips the media about the ongoing investigation following which the stock tanks by 20% in a single trading session. Yang covers the short positions, making a good profit for his clients. Which of the following CFA Institute Standards of Professional Conduct did Yang *most likely* violate?

- A. Market Manipulation.
- B. Priority of Transactions.
- C. Preservation of Confidentiality.

Question 10

Green Meadows Investments is a small brokerage and investment firm which has grown rapidly over the past few years. Howard Grant, owner and CEO, decides to hire a sub-manager to handle the growing demands of the clients to diversify their portfolio by investing in the regional markets. Grant uses the CFA Institute model "request for proposal" to design a questionnaire for the purpose of recruiting a sub-manager. He shortlists five local and regional firms competing for the new business. Grant reviews each one of them in detail and finally hires the most cost-effective firm. Grant has *least likely* violated the CFA Institute Standard relating to:

- A. suitability.
- B. diligence and reasonable basis.
- C. fair dealing.

Question 11

Kathy Hughes, CFA, a portfolio manager for high-net-worth clients, is part of a 5-member team that manages a balanced portfolio. Hughes is interviewing for a position at Smart Fund Investments and receives written approval from her current firm to take records of the performance history of the assets she manages. During the interview, she attributes the historical performance of the fund as a collective effort. Hughes also talks at length about specific clients,

their portfolio value, the length of their association, and other success stories. Did Hughes *most likely* violate the CFA Institute Standards by discussing one of the following?

- A. Specific details of the clients.
- B. Discussing the performance history of the fund.
- C. Her role in the portfolio's performance.

Question 12

Kavita Karamali is a portfolio manager at Newbridge Investments. One of her clients, Inam Ghauri with a low-risk tolerant profile has asked her to invest in a High-Growth Stock Fund which has shown an average annual return of 23% for the last three years. Ghauri has recently inherited \$1.5 million from his aunt. Karamali follows the firm's policy of updating his investment policy statement and considers all the aspects including his investment objectives, constraints, and unique needs. Based on the historical track record, management fees charged, and her client's changed circumstances, she finds the High-Growth Stock Fund as a suitable investment for Ghauri. Nevertheless, Karamali, explains in details all the pros and cons of the investment, the objectives of the Fund pursued by an aggressive investment strategy, finally highlighting the increased risk that Ghauri will be exposed to with the new investment. After obtaining his approval to the terms of the Fund, Karamali invests 30% of his capital in the Fund based on the analysis of the client's new risk appetite and return objectives. The next month the fund announces a loss close to 45% of its value and suspends all redemptions. Ghauri in panic calls the chief executive officer (CEO) of Newbridge and complains about Karamali, questioning her ability as a portfolio manager. The following day Karamali has to defend her decision to invest in the High-Growth Stock Fund for Ghauri, in front of the firm's management committee. Which of the following statements is *most likely* correct?

- A. Karamali has violated the Code and Standards by not explaining the Fund's mandate to the client.
- B. Karamali has not violated the Code and Standards.
- C. Karamali has violated the Code and Standards by investing 30% of Ghauri's portfolio in the High-Growth Fund.

Question 13

According to the Fundamentals of the Compliance section of the GIPS standards, which of the following is *most likely* a requirement for claiming compliance?

- A. If the firm meets certain but not all requirements of the GIPS standards, it can state that it is "in compliance with the Global Investment Performance Standards except for" to indicate partial compliance with the GIPS standards.
- B. Firms must make every reasonable effort to provide a compliant presentation to all prospective clients.
- C. Firms must provide a complete list of composite descriptions to existing clients but not to any prospects that make such a request.

Question 14

Rohan Sharma is an independent advisor based in Mumbai. All his clients are domiciled in India. The Securities and Exchange Board of India (SEBI) launched REITs recently to make investments in the real estate sector accessible to investors without buying physical property. To promote REITs as an asset class, advisors are given incentives to sell REITs. Rohan perceives

REITs as a good diversification tool and recommends it to all his clients. Rohan least likely violated which of the following standards?

- A. Independence and Objectivity.
- B. Suitability.
- C. Knowledge of the law.

Question 15

Jayesh Shaan, CFA, is a portfolio manager at Kiaan Investment Company. He develops a derivatives selection model, with promising simulated performance results. He wants to apply the model in managing the risk of his clients' portfolios. He writes a newsletter to all his clients and prospects, explaining the basic format of the model outlining its risks and limitations. He then summarizes the performance results over the past five years using both the historical actual annual outcome of portfolios and the corresponding simulated result. Shaan writes the following concluding statement, "By developing and applying the proprietary derivatives' selection model, the return potential of certain portfolios i.e. where appropriate to include derivatives, increases by 100 basis points over the gross actual returns, and the simulated risk is lowered by 20-30 basis points from the actual risk." "The model is worth employing but Kiaan Investment Company does not guarantee future returns based on past results." Has Shaan violated any CFA Institute Standards?

- A. Yes, relating to misrepresentation.
- B. Yes, relating to communication with clients and prospective clients.
- C. No.

Question 16

Carla Santiago is a portfolio manager. She receives a call from a brokerage firm, Amer Securities. Amer Securities encourages Santiago to route her client trades through their firm. As an incentive, Santiago is told that she will receive a discount on her personal trades. Santiago will most likely be in violation of which CFA Institute Standards if she trades through Amer Securities?

- A. Diligence and Reasonable Basis.
- B. Loyalty, prudence and care.
- C. Responsibilities of supervisors.

Question 17

A former wealth manager, Jack Hughes, has decided to start a private money management firm, Western Capital. Hughes believes that the new firm needs to quickly build assets under management of €1.50 billion by the end of its first financial year in order to be successful. Therefore, Hughes uses public records to contact former clients to solicit their business. He also advertises on various web portals with the following statement: "Great opportunities and incentives of up to €15,000 for investment advisers who join the firm with a minimum of €150,000 in committed investments." Which of the following is most likely correct according to the CFA Institute Standards?

- A. A member or candidate may not accept Hughes' offer because the committed investments of €150,000 required from the investment advisers violate the Code and Standards.

- B. A member or candidate who is currently employed may accept the new position, because he/she can arrange for enough clients to move with him/her to the new firm.
- C. A member or candidate currently unemployed is eligible for the new position.

Question 18

Ollie Green is a research analyst with Stellar Investments, and has been asked to write a report on Royal Tonto Inc. (RTI), one of the leaders in the mining industry. During a recent mining and metallurgical event organized by the mining industry, he learns that RTI has won the contract for iron ore mining at an extremely attractive price due to the faith placed by that country's government in RTI's ability and reputation to explore and produce successfully in far flung territories. Green meets with the representative of RTI at the event who confirms the news. Back at the office, Green digs up more about RTI and its competitors and also downloads various independent research reports on RTI and the industry. He decides on a "buy" recommendation for RTI stock by stating, "It's a fact that the price of iron ore is on an upward trajectory, hence future prospects of RTI are very bright." Before Green presents his report to his supervisor for review, he instructs his portfolio manager to purchase RTI's stock for his portfolio. The CFA Institute Standard least likely violated by Green is:

- A. diligence & reasonable basis.
- B. priority of transactions.
- C. communication with clients and prospective clients.

Question 19

Hassan Sooriya recently left his job as a portfolio manager at an investment bank to start his own investment management firm. Few years ago, Sooriya had earned his CFA charter, which he feels should be advertised in the new marketing material he is creating for his firm. He makes the following two statements in the marketing material:

- I. "As a CFA charterholder, I am committed to the highest ethical standards.
- II. The CFA Program is globally recognized and attests to a charterholder's success in the field of investment management and analysis."

Has Sooriya violated Standard VII (B) – Reference to CFA Institute, the CFA Designation, and the CFA Program in his advertising material?

- A. No.
- B. Sooriya violated Standard VII (B) in the first statement.
- C. Sooriya violated Standard VII (B) in the second statement.

Question 20

Survivorship bias refers to

- A. Showcasing only the top-performing portfolio to represent the firm's overall investment results.
- B. Excluding poorly performing portfolios and presenting an average performance history.
- C. Presenting performance for a selected time-period during which the mandate produced excellent returns.

Question 21

Chris Isaac, works as a registered broker and investment advisor with TopWorth Securities and Brokerage. Isaac has just attended a rigorous training session organized and led by the Stacy Fenworth, regional director of TopWorth and the compliance department to educate and train the brokers of the firm about a new comprehensive fee-based account, GoldAccount. At the end of the training session, Fenworth had distributed compliance procedures for establishing and maintaining GoldAccount which is specifically for clients with assets over USD100,000. She had also explained to the participants that as per regulatory rules, they should have reasonable basis for assigning the account to a particular customer. An annual review of the GoldAccount will be conducted to ascertain its status and applicability. Isaac feels that Tracy Keegan, one of his clients who is an active trader, with assets now approaching to USD110,000, is the right candidate since her transaction fees will be discounted by nearly 75% from their current costs. Keegan agrees after reading the disclosure material provided by Isaac and accepts the recommendations. Has Isaac violated any CFA Institute Standards by recommending the GoldAccount to Keegan?

- A. Yes, related to diligence and reasonable basis.
- B. Yes, relating to suitability
- C. No.

Question 22

Stuart Anderson, CFA, is a portfolio manager at Maxima Investments. He manages fee-paying client accounts including accounts of his close family members. The family members' accounts are similar in every way to the regular clients' accounts and pay the same fee. When the eagerly awaited IPO of SK&L Pharmaceuticals becomes available, Anderson first distributes the issue to his family members, then to his clients, provided it is appropriate for them and finally to his own account. Which of the following standards has Anderson least likely violated?

- A. Suitability.
- B. Priority of transactions.
- C. Fair dealing.

Question 23

Gary Sanders is the head of compliance of a 1,000-employee asset management firm. He has been diagnosed with cancer and is going on a 4-month medical leave. He has always ensured the compliance policies are up-to-date and rigorously enforced within the organization. Before leaving, Sanders hands over his supervisory responsibilities to Kirsten Gates and states his responsibilities include ensuring compliance with all applicable laws, rules, regulations and firm policies. Sanders violated the CFA Institute Standards of Professional Conduct by not including which of the following as part of his supervisory responsibilities?

- A. Preventing violations of the CFA Institute Code and Standards.
- B. Conducting training programs on compliance.
- C. Both A and B.

Question 24

Anil Poddar, CFA, is an equity research analyst specializing in the banking sector. A team of four analysts, including Poddar analyzed the rights issue of the State Bank of India, India's largest public sector bank. Based on their research, they issued a buy recommendation. Though Poddar

agrees with the team on most of the points, he strongly disagrees with them on one aspect: the bank's rising NPAs and no steps taken by the management to curtail it. He feels the stock is overpriced and should not be a buy. Despite Poddar's view, the research report is circulated with his name to all the clients. In order to comply with the CFA Institute Standards, which of the following actions by Poddar would be the least appropriate?

- A. Leave the report as is with his name on it.
- B. Release a new report with the sell recommendation.
- C. Remove his name and dissociate from the report.

Question 25

Timothy Urban works as an independent financial planner. He hires independent professionals for several associated services such as tax planning and filing, insurance, legal, and brokerage services. Each service professional bills Urban for the services provided based on the volume of work they receive from him on a monthly basis. Some of the service professionals pay Urban a referral fee for recommending clients. To comply with the CFA Institute Standards of Professional Conduct, which of the following steps must Urban most likely take?

- A. Invoice clients immediately after the independent professionals bill Urban for the service offered.
- B. Keep potential clients informed about his arrangement and fee structure before they sign an agreement with him.
- C. Disclose details of referral fees to clients upon request.

Question 26

According to the Fundamentals of Compliance section of the GIPS standards, which of the following is *least likely* a recommendation that firms are encouraged to implement?

- A. GIPS Reports should be provided to all existing clients.
- B. Non-discretionary portfolios must not be included in a firm's composites.
- C. Firms should adopt the broadest and most meaningful definition of the firm.

Question 27

Cassandra Turnbull is planning a college fund for her daughter who will start college after exactly 6 years. The expected college expense will be USD55,000 per year payable at the start of each year for four years. Turnbull plans to invest in a fund which yields 6%. Turnbull has USD100,000 in savings at this time. What equal amount must she invest at the end of year 1, year 2, year 3, year 4 and year 5 to fund her daughter's four-year college?

- A. \$10,069.
- B. \$18,116.
- C. \$24,000.

Question 28

A decrease in the price of a normal good and an increase in the purchasing power of consumers, will cause its demand to:

- A. increase due to income effect.
- B. increase due to substitution effect.
- C. increase due to both substitution and income effects.

Question 29

An analyst observes the following data for Rodríguez Company (in millions of €):

	2005(€)
Sales	54.6
Cost of goods sold	42.0
Purchases	40.1
Average receivables	15.2
Average payables	13.4
Average inventory	8.9

The company's cash conversion cycle (in days) is *closest* to:

- A. 57.
- B. 98.
- C. 137.

Question 30

An equity analyst has categorized some stocks based on the industry sector to which they belong. Which measurement scale is the analyst *most likely* using?

- A. Interval.
- B. Nominal.
- C. Ordinal.

Question 31

The following data apply to a country in its domestic currency unit:

Consumer spending on goods and services	986,070	Government spending on goods and services	416,700
Business gross fixed investment	397,500	Government gross fixed investment	95,230
Change in inventories	-79,600	Capital consumption allowance	9,650
Transfer payments	9,400	Statistical discrepancy	-3,960
Exports	329,900	Imports	360,990

Using the expenditures approach, the country's gross domestic product (GDP) is *closest* to:

- A. 1,771,200.
- B. 1,780,850.
- C. 1,790,500.

Question 32

Steve Rowling is analyzing historical performance of a portfolio manager who claimed to outperform its benchmark 70 percent of the time over a one-year time horizon. Steve has eight months record of the portfolio manager's monthly performance. The portfolio manager outperformed the benchmark in five months. If all the outperformance results are independent and the portfolio manager's performance is as claimed, what is the probability of observing two or fewer profitable recommendations out of eight in total?

- A. 7.5%
- B. 5.76%
- C. 1.13%

Question 33

The market demand function for chairs is given by the equation:

$$Q_D = 80 - 0.6 P + 0.05 I$$

Where Q_D is the chairs demanded per month (in thousands), P is the average price of a chair (in USD) and I is the household monthly income (in thousand USD). The price of a chair is USD25 and monthly income of a family is USD65,000. The own-price elasticity of demand for chairs is *closest* to:

- A. -0.6105.
- B. -0.2307.
- C. -0.2198.

Question 34

An economist is evaluating the relation between economic growth and currency appreciation. He uses historical data to determine the probability that the economy grows is 63%, the probability that the economy shrinks is 24% and the probability that the economy stays flat is 13%. He later finds out that the currency appreciates. The economist estimates that given the new information regarding the currency, the probabilities that the economy, shrinks or stays flat are as follows:

- $P(\text{currency appreciation} \mid \text{economy grows}) = 74\%$
- $P(\text{currency appreciation} \mid \text{economy shrinks}) = 11\%$
- $P(\text{currency appreciation} \mid \text{economy unchanged}) = 15\%$

What is the probability that the economy will shrink, given the new information that the currency appreciated?

- A. 5.16%
- B. 11.0%.
- C. 23.5%

Question 35

The marginal propensity to consume in an economy is 73 percent and the tax rate is 32 percent. Given that planned expenditures are to increase by USD8 billion, the increase in total income and spending (USD in billions) is *closest* to:

- A. USD15.9.
- B. USD11.8.
- C. USD29.6.

Question 36

Which of the following companies will have the *lowest* financial reporting quality?

- A. A company that combines the results of the two segments it operates in: healthcare and retail.
- B. A company that reports good performance due to favorable exchange rate movement.
- C. A company that provides delayed reports, but ones that are GAAP-compliant and decision-useful.

Question 37

Bernhard Schwaiger, an equity analyst, wants to look at the ROE of all the companies in the S&P 500 for the year 2015. He would *most likely* require:

- A. time-series data.
- B. cross-sectional data.
- C. panel data.

Question 38

An analyst is analyzing the impact of regulatory intervention in order to subdue speculative behavior on the stock market of Country A. For this purpose, he is studying the return volatility in the stock exchange of Country A before and after the events. He is using the 120 months of return data before and after August 2006. The level of significance is 1%.

	n	Mean Monthly Return (%)	Variance of Returns
Before August 2006	120	1.498	20.855
After August 2006	120	1.402	12.605

Which of the following statement is *most likely* correct?

- A. The null hypothesis will be tested using a chi-square test statistic of 1.654 and would conclude that null hypothesis can be rejected.
- B. The null hypothesis will be tested using a F test statistic of 0.604 and would conclude that null hypothesis cannot be rejected.
- C. The null hypothesis will be tested using a F test statistic of 1.654 and would conclude that null hypothesis can be rejected.

Question 39

A separate purchases account is most likely required by:

- A. the periodic inventory system.
- B. the perpetual inventory system.
- C. the specific identification valuation method.

Question 40

Gareth Mike is a treasury analyst at Charterhouse Investments Management Company. Mike is reviewing the pricing of a bond of Company Xerrom Inc. The bond is speculative-grade, zero-coupon bond with one-year-maturity. The probability that the bond will default is 5%. The

one-year US Treasury bills (T-bills) are offering a return of 2.75% (denoted as R_F). The return (yield to maturity) of a bond is denoted as R . Assuming that the bondholders will recover nothing in the event of a default, which of the following is most likely correct statement?

- A. The investor will require a default risk premium of at least 5.41% on the bond to break even compared with investing in the T-bill.
- B. The investor will require a default risk premium of at least 3% on the bond to break even compared with investing in the T-bill.
- C. The investor will require a default risk premium of at least 5.00% on the bond to break even compared with investing in the T-bill.

Question 41

An analyst is interested in interpreting the results of and performing tests of hypotheses for the market model estimation that regresses the return on a small cap stock against the return on the small cap index over the last six years. He has generated the regression results presented in Exhibits 1 and 2:

Exhibit 1

Statistics	Change in Index (X)	Stock Returns (Y)
Sum	59.80	50.48
Sum of squared deviations from the mean	19.27	38.21
Sum of cross-products of deviations from the mean	22.91	

Exhibit 2

Source	Sum of Squares	Degrees of Freedom	Mean Square
Regression	13.7348	1.0000	13.7348
Error	5.5401	4.0000	1.3850
Total	19.2749		
Coefficient of Determination	71.26%		
Standard Error of the Estimate	1.1769		
Slope coefficient	0.5995		
Intercept	4.92		

Critical t-values for a 0.05 level of significance:

One-sided, left side: - 2.1318

One-sided, right side: +2.1318

Two-sided: $\pm$ -2.7764

Which of the following statements is *least* accurate?

- A. The model would be best described as time-series regression.
- B. The scatter plot summarizing this relation would be most likely upward sloping.
- C. The estimated slope coefficient is not different from zero at the 0.05 level of significance.

Question 42

Assume that the nominal spot exchange rate (USD/AUD) increases by 6.5 percent, the Australian price level decreases by 2.5 percent, and the U.S. price level increases by 2 percent. The change in the real exchange rate is *closest* to:

- A. 1.80 percent.
- B. 1.82 percent.
- C. 1.14 percent.

Question 43

A desirable attribute of an unbiased estimator is that it should have the least variance among other unbiased estimators of the same population. This attribute is *most likely* known as:

- A. consistency.
- B. efficiency.
- C. unbiasedness.

Question 44

A firm will *most likely* shut down its production in the short-run, when:

- A. the total revenue is less than the total cost.
- B. the total revenue is less than the total variable cost.
- C. the marginal revenue is equal to the marginal cost.

Question 45

Pardew Jewels had 340,000 common shares outstanding and 45,000 shares of preferred stock paying USD10 dividend per share. Each preferred share is convertible into one common share. In 2008, the company reported a net income of USD2.1 million for the year. What is the reported diluted EPS on the company's financial statements?

- A. 4.85
- B. 5.45
- C. 6.18

Question 46

An investment analyst has data on 80 potential companies to include in a stock portfolio. She has employed three screening criteria for inclusion of stocks in her portfolio with the number of companies meeting the criteria provided below:

Screening Criterion	Number of Companies meeting the screen
P/E Ratio > 5	25
Return on Equity > 20%	33
Current Ratio > 1	48

Assuming that the screening criteria are independent, the probability that a given company will meet all three screening criteria is *closest* to:

- A. 8%.
- B. 15%.
- C. 24%.

Question 47

Which of the following statements about Giffen goods is least accurate?

- A. Demand curve is positively sloped.
- B. Income effect overwhelms the substitution effect.
- C. Income and substitution effects are in the same direction.

Question 48

The following information is available about an economy which produces only two products, K and M:

	Product K		Product M	
Year	Output (units)	Selling price/unit	Output (units)	Selling price/unit
2014	5,000	\$60	3,600	\$34
2015	4,000	\$72	3,100	\$28

If the implicit price deflator for GDP in 2014 was 100, the GDP deflator for 2015 is closest to:

- A. 108.5.
- B. 92.2.
- C. 122.3.

Question 49

Martin is planning to pay his child's college tuition for 5 years starting 10 years from now. The current annual cost of college is USD50,000, and this cost is expected to rise at an annual rate of 3 percent. It is assumed that he can earn 3.5 percent annually. How much must he put aside each year, starting next year, if he plans to make 9 equal payments?

- A. 24,866
- B. 31,007
- C. 27,405

Question 50

For a lump sum investment of USD125,000 invested at a stated annual rate of 5.5% compounded semi-annually, the number of years needed to grow the sum to USD950,000 is closest to:

- A. 57 years.
- B. 68 years.
- C. 37 years.

Question 51

A company recently purchased a warehouse property and related equipment for €20 million, which were valued by an appraiser as follows: land €6 million, building €9 million, and equipment €8 million. The company incurred the following additional costs in getting the warehouse ready to use:

- €1.0 million for repairs to the building's roof and windows which will extend the life of the building
- €0.3 million to modify the interior layout to meet their needs
- €0.2 million on an orientation and training session for employees to familiarize them with the facility

The cost to be capitalized to the building account (in millions) for accounting purposes is *closest* to:

- A. €20.0.
- B. €21.3.
- C. €24.5.

Question 52

Larson Inc. is involved in manufacturing consumer products and has series of outlets which are being operated through contractual agreements separately. One of the Companies with which it has contractual agreement is GoTo. All inventory risk and credit risk on all goods which are being sold via these outlets is borne by Larson. Larson pays commissions to GoTo. Prices are being used as set by Larson Inc. During 2019, Larson had the following information:

- Total sales price of items sold by Larson through GoTo during 2019 was USD4,750,000.
- Total commissions paid by Larson to GoTo during 2019 for these items was USD800,000.

Which of the following statement (s) is most likely correct with respect to the above stated information?

- A. GoTo should report \$4,750,000 revenue on its 2019 income statement.
- B. GoTo should report \$800,000 revenue on its 2019 income statement.
- C. GoTo should report \$3,950,000 revenue on its 2019 income statement.

Question 53

Aggregate demand (AD) curve will shift left if:

- A. interest rates are lower.
- B. taxes are higher.
- C. companies are operating at near or full capacity.

Question 54

The following information is from a company's investment portfolio:

Investment

Classification	Measured at cost or amortized cost
Market value, 31 Dec 2009	10,000
Cost/Amortized cost 31 Dec 2009	12,000
Market value, 31 Dec 2010	9,000
Cost/Amortized cost 31 Dec 2010	10,000

If the investment is reclassified as measured at fair value through other comprehensive income as of 31 December 2010, the balance sheet carrying value of the company's investment portfolio would *most likely*:

- A. remain the same.
- B. decrease by 1,000.
- C. decrease by 2,000.

Question 55

An analyst runs a cross-sectional regression for 100 companies, where the dependent variable is the annual return on stock and the independent variable is the net profit margin (NPM). The results of this simple linear regression estimation are shown in the following Exhibit:

Exhibit: Regression Statistics

Source	Sum of Squares	Degrees of Freedom	Mean Square
Regression	365.3450	1.0000	365.3450
Error	1,725.1110	98.0000	17.6032
Total	2,090.4560		

After studying the results of the regression, the analyst arrives at the following conclusions. Which of the following statements is *least* accurate?

- A. The coefficient of determination of the regression model is close to 17.48%.
- B. Standard error of the estimate is 3.3037.
- C. At 5% level of significance, with critical F-value =3.938, there is sufficient evidence to indicate that the slope coefficient is statistically different from 0.

Question 56

Assume that the nominal spot exchange rate (USD/EUR) increases by 7.2%, the eurozone price level decreases by 3%, and the U.S. price level increases by 2%. The change in the real exchange rate (%) is closest to:

- A. 12.72%.
- B. 1.94%.
- C. -2.52%.

Question 57

The most *appropriate* way to account for the assets, that have been selected to be spun-off, until the distribution occurs is to classify them as:

- A. held for sale with no depreciation taken.
- B. held for use until disposal with no deprecation taken.
- C. held for use until disposal with depreciation continuing to be taken.

Question 58

The joint probability of returns, for securities X and Y, are as follows:

	Return on security Y=10%	Return on security Y=5%
Return on security X = 20%	0.8	0
Return on security X = 10%	0	0.2

The covariance of the returns between securities X and Y is *closest* to:

- A. 4
- B. 8
- C. 12

Question 59

An analyst is evaluating the balance sheet of Company T that uses the LIFO accounting method for inventory. Company T prepares its financial statements under US GAAP. The analyst collects the following data:

	31 Dec 15
Inventory as per balance sheet	USD500,000
LIFO reserve	USD70,000
Average tax rate	30%

To compare Company T with a company which uses FIFO, at 31 December 2015, the inventory should be adjusted to:

- A. USD479,000
- B. USD549,000
- C. USD570,000.

Question 60

A country's international transactions accounts data for last year are presented in its domestic currency:

Transaction	Amount
Exports of goods and services	1,000
Import of goods and services	1,400
Investment income payments made to foreigners	250

Investment income received from foreigners	340
Net change in assets owned abroad	150
Net change in foreign-owned assets domestically	490
Unilateral current transfers received	34
Unilateral current transfers paid	110
Statistical discrepancy	64

The current account balance is *closest* to:

- A. -322.
- B. -386.
- C. -450.

Question 61

If the expected return on other assets fall, the speculative demand for money will:

- A. increase.
- B. decrease.
- C. remain unaffected.

Question 62

The financial ratios of Devon Barton Company are given below:

Operating profit margin	22.4%
Net profit margin	16.7%
Dividend payout ratio	60%
Return on assets	13.1%
Debt to equity	0.68

The company's sustainable growth rate is closest to:

- A. 3.6%.
- B. 8.8%.
- C. 13.2

Question 63

An analyst calculates the following ratios for two companies:

	Alpha Inc.	Beta Inc.
Net profit margin	9.6%	8.5%
Debt/EBITDA	2.8%	2.1%
Retained cash flow to debt	5.4%	7.3%
Free cash flow to net debt	1.3%	4.8%

Which company will *most likely* be assigned a higher credit rating?

- A. Alpha Inc.
- B. Beta Inc.
- C. Cannot say.

Question 64

An analyst gathers the following information to determine the relationship between two variables:

Value of the test statistic	1.94
Critical value at the 0.05 significance level	1.96
Critical value at the 0.01 significance level	2.58

If the null hypothesis is that the population correlation coefficient is equal to zero and alternative hypothesis is that the population correlation coefficient is different from zero, then the analyst *most likely* conducted a:

- A. one-tailed test and can reject his null hypothesis.
- B. two-tailed test and can reject his null hypothesis.
- C. two-tailed test and cannot reject his null hypothesis.

Question 65

For 2013, Judy Co. reported cost of goods sold of USD25 million, beginning inventory of USD2 million, and an ending inventory of USD5 million. If the accounts payable increased by USD3 million, the cash paid to its suppliers during the year is closest to:

- A. \$22 million.
- B. \$25 million.
- C. \$28 million.

Question 66

Which of the following statements related to goodwill is most likely correct?

- A. If a company is not making new acquisitions, goodwill remains constant.
- B. Goodwill is amortized over time.
- C. Goodwill is tested for impairment annually.

Question 67

Ryan Ali is an investment advisor at Global Money Investment Company. His client has asked him to recommend a portfolio comprising of 2 banking stocks, 3 utility stocks, and 1 oil stock. If Ryan can choose from 4 banking stocks, 5 utility stocks, and 4 oil stocks, how many different sets of 6 stocks are possible?

- A. 60
- B. 240
- C. 2,880

Question 68

Which of the following assets should most likely be tested for impairment at least annually?

- A. Factory equipment.
- B. A patent expiring in 8 years.
- C. A trademark with an indefinite life.

Question 69

Primark wrote down the value of its inventory in 2018 and reversed the write-down in 2019. Compared to the results the company would have reported if the reversal had never occurred, Primark's reported 2019:

- A. cost of sales was overstated.
- B. cash flow from operations was understated.
- C. Taxes were understated.

Question 70

McMillan Corp enters a contract which requires payments of USD57 million at the end of each of the next five years for exclusive use of a specific machine over that time period. The present value of the payments is close to USD234 million. At the end of the contract, McMillan will return the machine. The contract does not contain a purchase option. The machine can be used in many applications by many types of customers. The remaining useful life of the machine is ten years, and its fair value is USD235.6 million. This contract is:

- A. an operating lease.
- B. an unsecured loan.
- C. a finance lease.

Question 71

The following information is available for Fernando Oil Ltd.

Net income	USD65,000
Depreciation	USD16,000
FC investment	USD8,000
WC investment	USD12,000
Net debt repayment	USD36,000
Cash flow from operations	USD69,000

The free cash flow to equity of the company is *closest* to:

- A. USD13,000.
- B. USD25,000.
- C. USD29,000.

Question 72

Which of the following is *least likely* a lagging indicator for the U.S. economy?

- A. Industrial production index.
- B. Inventory-sales ratio.
- C. Unit labor costs.

Question 73

Which feature for preparing financial statements pertains to iimportant information not being omitted?

- A. Fair presentation
- B. Materiality and aggregation
- C. No-offsetting

Question 74

An analyst uses the following data to estimate the effects of the changes in the INR exchange rate on India's balance of trade.

	Volume (INR billions)	Demand elasticity
Exports	250	0.7
Imports	300	0.9

A depreciation of the INR will most likely:

- A. reduce the trade deficit.
- B. increase the trade deficit.
- C. have no effect on the trade deficit.

Question 75

TedFin Inc. issued \$32 million of fixed rate unsecured bonds at an interest rate of 9.5%. The rates have decreased to 8.75% since then. Using only the carrying amount (based on historical cost) reported on the balance sheet to analyze the company's financial position, which of the following statement is most likely correct?

- A. the economic liabilities of TedFin Inc. may be overestimated
- B. the economic liabilities of TedFin Inc. may be underestimated.
- C. the changes in a liability's fair value will be reported in other comprehensive income

Question 76

According to the IASB Conceptual Framework, the qualitative characteristic of useful financial information pertaining to the agreement of different knowledgeable users on the information presented to be a faithful representation of the economic events as intended, is *best* described as:

- A. comparability.
- B. understandability.
- C. verifiability.

Question 77

Kim Norton is analyzing the average monthly income of the working population in a small town. She takes a sample of 250 working individuals and found a sample mean of USD3,265 with a sample standard deviation of USD884. Given that $Z_{0.25} = 1.96$ and $Z_{0.05} = 1.645$, there is 95% probability that the population mean is between:

- A. USD1,532.4 and USD4,997.6.
- B. USD3,155.4 and USD3,374.6.
- C. USD3,209.1 and USD3,320.9.

Question 78

A secondary school student is equally likely to score more than 10, and up to 25 marks in a math test. Given that the marks are only awarded in integers, the probability that the student scores more than 19 marks, and up to 23 marks, is *closest* to:

- A. 0.250.
- B. 0.267.
- C. 0.333.

Question 79

Different depreciation methods for accounting and tax purposes led to the following differences in the carrying amount and tax base for Hobart Petroleum's oil filtration plant.

	Carrying amount	Tax base
End of the year 2013	USD7.5 million	USD8.0 million
End of the year 2014	USD7.0 million	USD7.2 million
End of the year 2015	USD7.7 million	USD6.4 million

The plant was revalued in December 2015, with a revaluation surplus of \$1.2 million. The applicable tax rate is 35%. The deferred tax liability on 31 December 2015 is *closest* to:

- A. USD35,000.
- B. USD420,000.
- C. USD455,000.

Question 80

In which of the following cases is collusion least likely to occur?

- A. When the product is homogeneous.
- B. When the market shares of the companies are similar.
- C. When the cost structures of companies are similar.

Question 81

Company A is offered a five-year lease contract for use of an asset with an implied interest rate of 7% and an annual lease payment of EUR 75,000 per year payable at the end of each year. Therefore, the present value of the lease payments is close to EUR 307,515. The asset will be amortized over the five-year lease term on a straight-line basis. Company A reports under IFRS. In Year 3, interest expense and amortisation expense respectively will be closest to:

- A. EUR 13,778 and EUR 61,503
- B. EUR 13,778 and EUR 61,222
- C. EUR 9,492 and EUR 65,508

Question 82

At the beginning of the year, a company had total shareholders' equity consisting of ¥500,000 in common share capital and ¥100,000 in retained earnings. Following details are given for the year (in ¥):

Net income reported 35,000

Dividends paid 3,500

Unrealized loss on available-for-sale investments 1,000

Repurchase of company stock, to be held as treasury stock 5,000

The total shareholders' equity at the end of the year is closest to:

- A. ¥625,500.
- B. ¥626,500.
- C. ¥631,500.

Question 83

A monopolist faces the following demand and cost schedules:

Output (units)	Price (\$/unit)	Total costs (\$)
0	8,000	600
15	7,700	35,600
30	7,400	78,600
45	7,100	104,600
60	6,800	197,600
75	6,500	281,600

The optimal output level for this producer is closest to:

- A. 75.
- B. 15.
- C. 45.

Question 84

A company which prepares its financial statements in accordance with IFRS issues £2,000,000 face value five-year bonds on January 1, 2013 when interest rates are 5.60%. The bonds carry a coupon of 4.70%, with interest paid annually on December 31. The carrying value of the bonds as of December 31, 2014 will be closest to:

- A. £1,824,960.
- B. £2,049,295.
- C. £1,951,527.

Question 85

Three countries produce leather and cotton. The following table illustrates the output per worker per day in each country:

Country	Leather	Cotton
A	7	9
B	5	8
C	3	6

Which country is most likely to have the greatest comparative advantage for producing leather?

- A. Country A.
- B. Country B.
- C. Country C.

Question 86

Which ratio is most likely higher for a company using FIFO method to account for inventory, during a period of rising prices, when compared against a company using weighted average cost method?

- A. Debt-to-equity ratio.
- B. Inventory turnover.
- C. Return on sales.

Question 87

An analyst has gathered the following information about an economy:

Total population	15,000
Working age population	12,250
Labor force	11,950
Underemployed	4,500
Unemployed	3,540
Discouraged workers	2,340
Frictionally unemployed	2,250
Voluntarily unemployed	2,000

The unemployment rate in the economy is closest to:

- A. 29.6 percent.
- B. 23.6 percent.
- C. 28.9 percent.

Question 88

A company pays prepaid rent which is immediately tax deductible, but for accounting purposes, the prepaid expense is not recognized until the rent has been utilized. It is most likely that the company will report:

- A. a deferred tax liability.
- B. a deferred tax asset.
- C. no deferred tax asset or liability.

Question 89

Solo Bank NA follows US GAAP to report its financial statements. Some information about deferred taxes is given below:

	2011	2010
Deferred tax asset	\$22,698	\$18,650
Valuation allowance	\$7,450	\$6,822

The change in the valuation allowance most likely reflects that for Solo Bank:

- A. the expectations of future earning power have increased.
- B. the expectations of future earning power have decreased.
- C. the deferred tax liabilities were increased in 2011.

Question 90

To avoid selecting stocks that might be cheap for a good reason, an analyst would most likely apply which of the following criteria?

- A. Positive net income
- B. Debt-to-total assets ratio below a certain cut-off point
- C. Both A and B.